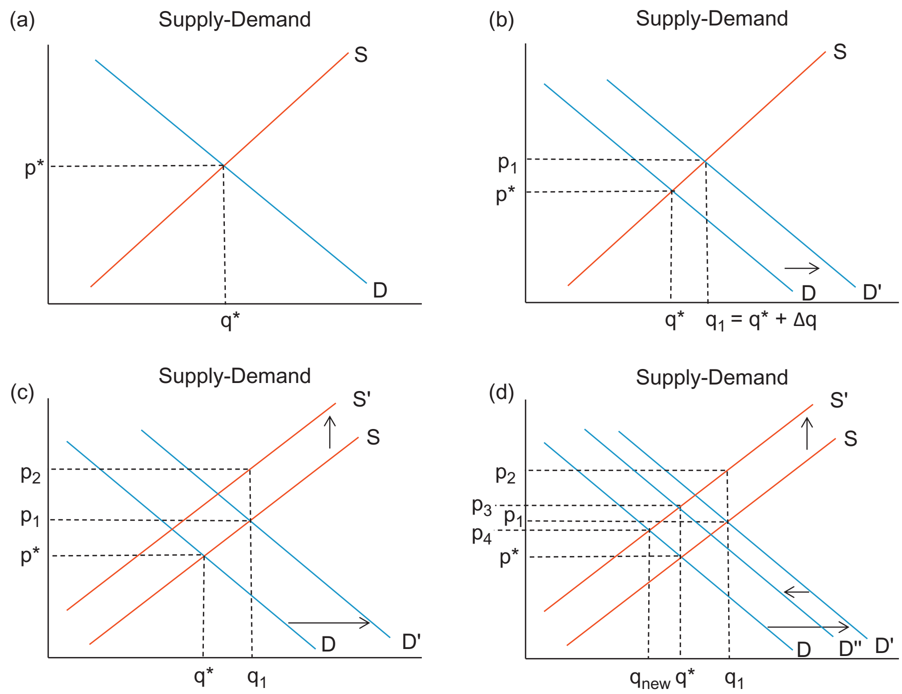

■ **Figure 4.2** Supply-Demand Equilibrium.

being undervalued. Sellers will thus increase their asking price in the presence of the newly discovered information causing buyers to pay a higher price.

After shares transact, we face some uncertainty—what happens next?

After the trade the demand curve will shift back to its previous level. But will the supply curve remain at S′ or will it return to S? Will equilibrium quantity return to its original pre-incremental investor level $q_{new} = q^*$ or will equilibrium quantity decrease $q_{new} < q^*$ due to higher market prices? This is shown in Figure 4.2d.

One scenario assumes reduced market volume following the incremental demand. Since price increased due to the trade's information content (shift in the supply curve from S to S′) fewer buyers are willing to transact at higher prices matching the original equilibrium quantity q*. For example, value managers buy stock only if they are within a specified price range because these prices can generate a higher profit for the manager. Therefore, once the market adjusts its pricing to reflect higher prices managers no longer